



NAVIGATING GOVERNANCE, RISK, AND COMPLIANCE IN A TRANSFORMATIVE ERA

In a recent interview hosted by Sourav Majumdar, Editor of Business Today, two distinguished guests, Anil Riat, Group Head, Internal Audit, Bharti Enterprises and Harpreet Singh, Partner, Risk Consulting PwC India, engaged in a compelling discussion on the crucial aspects of governance, risk, and compliance (GRC). The conversation highlighted the evolving landscape of GRC, the challenges faced by companies, the role of technology, and the imperative of a resilient risk management approach.

ELEVATING GOVERNANCE BEYOND REGULATORY COMPLIANCE

The discussion commenced with an acknowledgment of the transformative potential of a robust GRC framework. Both Anil Riat and Harpreet Singh emphasized the shift from viewing GRC as a mere check-the-box exercise to recognizing its role in enhancing processes, improving controls, mitigating risks, and fostering business excellence. The foundation of effective governance, as discussed by Harpreet Singh, lies in cultivating a culture where ethical practices, transparency, and long-term vision take precedence.

KEY CONCERNS IN GOVERNANCE AND LESSONS FROM STARTUPS

Harpreet Singh shed light on the key concerns in governance, particularly in the startup ecosystem. While established companies have witnessed improvements in governance over the years, the startup world has faced challenges, with some experiencing significant governance issues. The discussion emphasized the importance of building businesses for the long term, fostering a culture of compliance, and addressing governance issues in the startup space.

GOVERNANCE CHALLENGES IN A REGULATED SECTOR

Anil Riat, representing Bharti Enterprises, shared insights into the governance challenges faced by the company in the regulated telecommunications sector. He highlighted the significance of setting organizational principles beyond regulatory requirements and building a cultural foundation that promotes sustainability and ethical conduct. Bharti's approach focuses on empowering employees with the right values and principles rather than imposing rigid do's and don'ts.

TECHNOLOGY'S ROLE IN GOVERNANCE AND RISK MANAGEMENT

The conversation then shifted to the impact of technology on corporate governance. Anil Riat emphasized the positive aspects of technology, such as improved communication and data analytics for risk management. However, both guests acknowledged the challenges, especially in terms of cybersecurity and the responsible and ethical use of technology. Continuous monitoring, auditing, and adapting policies to technological advancements were deemed essential to stay ahead of risks associated with digitalization.

INVESTOR ACTIVISM AND GOVERNANCE PREMIUM

Harpreet Singh discussed the growing trend of investor activism and its impact on corporate governance. Companies, especially those in the listed space, are realizing the importance of good governance not only for regulatory compliance but also for attracting professionals, foreign capital, and achieving a governance premium in the market.

BUILDING RESILIENCE IN A VUCA WORLD

As the interview concluded, both guests addressed the evolving risk scenario in a volatile, uncertain, complex, and ambiguous (VUCA) world. They stressed the need for companies to adopt robust risk management processes, foster a strong risk culture, and engage in scenario planning to anticipate and mitigate potential risks. The importance of having a dynamic strategy that adapts to changing circumstances was underscored. This conversation provided valuable insights into the multifaceted realm of governance, risk, and compliance. The guests' perspectives on fostering ethical cultures, leveraging technology responsibly, and preparing for future uncertainties contribute to a comprehensive understanding of the challenges and opportunities in today's corporate landscape.